

while real estate and gold are called ‘real assets’. Each of these three buckets has certain features and you need parts of all three in your money box.

Debt

Let's start with what we understand really well. We are already investing in the category called ‘debt’. We may not call it that. The word ‘debt’ makes us think of the debts that we have – car loans, home loans and credit card loans. But when used by the sharp Suits, debt means the cell with products that give you an assured return – like a bank fixed deposit or a tax-free bond or a public provident fund.

The core of the product is a loan. When you make a deposit with the bank, it treats it as a loan from you. And needs to give a periodic return, and then the principal back to you after an agreed upon time. These are products where two things are fixed – how much you will get back and when you will get it back. You are loaning money to the bank or the bond issuer and the interest is the *price* of this loan.

Why do you get an interest on your money? Because by not using it today you have postponed consumption – you need to be compensated for that. By pushing the use of Rs 1 lakh to five years later, you take the risk of the money losing value to inflation – you must be compensated for that. By lending money, you also take the risk of the borrower not returning it – you need to be compensated for that.

Ever wondered why government bonds pay the lowest interest? Because they are the safest. That is why a real-estate company will have to offer interest rates on its corporate deposits much higher than a bank FD to get your money. They are offering a higher interest as a sweetener for the higher risk you take. You must remember this each time you are offered a company deposit or a ‘scheme’ that offers you very high interest rates. The higher the return it promises, the higher is the risk – even in a product you think is ‘safe’ like a company deposit.

Think of your bank FD rate as your benchmark or measuring rod. Better get used to this term – you will hear a lot of it. A benchmark is a standard you measure something against. Remember the time when a first division in school